

investment can be a home, a farm, a ranch, a family business, shares and bonds or a work of art.

It seems quite logical to earn money through capital gains. The only thing we need to know is the 'right time' when the stocks or the property prices might go up so that we can sell them at a considerable profit. This form of investment may not always be the best or the most reliable way to earn money. Considering an unpredictable and volatile market, many investment gurus like Robert Kiyosaki advise investors to invest in cash flows rather than capital gains. Extending the example of buying and selling a house to realize capital gains, a cash flow investment is aimed at buying property to rent out so that it gives you an inward and regular cash flow of money. Technically, Investopedia defines a cash flow as : "A revenue or expense stream that changes a cash account over a given period". Cash inflows usually arise from one of three activities — financing, operations or investing — although this can also occur as a result of donations or gifts in the case of personal finance. Cash outflows result from expenses or investments. This holds true for both business and personal finance.

If you can control the cash flow so that it is significantly positive over a given period of time (say a month), irrespective of any market situation (i.e., whether you have a job or not), you are on the right path to financial independence. It may sometimes be hard to invest for cash flows when everyone is investing for capital gains but in the long run, and especially during turmoil, this is always going to win.

A popular board game for children (and even adults) is "Monopoly". The idea in this game is not to buy a house or property once and then sell it later at some extra margin. To be a winner in this game, you continue to buy and keep collecting rent from your house or hotel till others land on the square in which you have a house, pay rent and go broke, and you win. Investing in capital assets is much like the game of Monopoly. The ultimate winner is the one who invests in cash flow rather than capital gains.

Invest regularly